

Banking & Professional Skills Study Guide

Clear explanations of all 18 training topics:
personal skills, banking, finance, risk, HMO, pension and security

Definitions · Frameworks · Nigerian context · Key takeaways

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How to use this guide

Each topic starts with a plain definition, then the main frameworks and (where relevant) the Nigerian regulatory context, and ends with a **Key takeaways** box for quick revision. Follow-up questions from your list are covered inside their topics: *Define marketing* and its use in outreach (Topic 3), the short and full explanations of *business communication* (Topic 4), *what 'audit' itself means* (Topic 5), and the general and session-specific parts of *Core Banking Principles* (Topic 12).

1. Personal Effectiveness & Emotional Intelligence

Managing yourself before you manage anything else

Personal effectiveness is your ability to consistently achieve the results that matter, using your time, energy, skills and relationships well. It is not about being busy; it is about producing the right outcomes with the least wasted effort. An effective person knows what they want to achieve, prioritises, takes ownership, keeps promises and keeps learning.

Building blocks of personal effectiveness

- **Self-awareness:** knowing your strengths, weaknesses, values and triggers.
- **Goal setting:** clear, written goals, ideally SMART: Specific, Measurable, Achievable, Relevant, Time-bound.
- **Prioritisation and time management:** spending time on what matters most (covered in the next section).
- **Proactivity and ownership:** focusing on what you can control and taking responsibility for outcomes instead of blaming circumstances.
- **Discipline and consistency:** small good habits repeated daily beat occasional bursts of effort.
- **Continuous learning:** seeking feedback, reading, and improving your skills on purpose.
- **Relationships:** nobody succeeds alone, so the way you work with people decides a lot of your effectiveness.

Emotional Intelligence (EI / EQ)

Emotional intelligence is the ability to recognise, understand and manage your own emotions, and to recognise, understand and influence the emotions of others. The idea was popularised by psychologist Daniel Goleman, who argued that in the workplace EI often matters as much as technical skill (IQ), especially for leadership and customer-facing roles like banking.

Goleman's five components of EI

Component	What it means	In practice at work
1. Self-awareness	Knowing your emotions, moods and their effect on others	Noticing you are irritated before you reply to a difficult customer
2. Self-regulation	Controlling impulses; thinking before acting	Staying calm when a manager criticises you in public
3. Motivation	Inner drive to achieve beyond money or status	Pushing to hit targets and improve even when no one is watching
4. Empathy	Understanding other people's feelings and viewpoints	Seeing that an angry customer is actually scared about their money
5. Social skills	Managing relationships, influencing, resolving conflict	Building rapport, negotiating, working well in teams

The first three are **personal competence** (managing yourself). The last two are **social competence** (managing relationships).

Why EI matters for personal effectiveness

- Emotions drive decisions. An unmanaged emotion (anger, fear, anxiety) leads to poor choices and damaged relationships.
- In banking and customer service you deal with stressed people and sensitive issues about money. EI lets you stay professional and calm them down.
- Leaders with high EI build trust, motivate teams and handle conflict better.
- EI can be learned and improved, unlike IQ which is fairly fixed.

How to improve your EI

- 1 Pause before reacting. Count to five, breathe, then respond.
- 2 Name your emotion ("I feel frustrated because..."). Naming it reduces its power.
- 3 Listen to understand, not to reply.
- 4 Ask for honest feedback on how you come across.
- 5 Keep a short daily reflection: what triggered me today and how did I respond?
- 6 Practise empathy: before judging, ask "what might this person be going through?"

Key takeaways

- Personal effectiveness = achieving the right results efficiently.
- EI = recognise and manage your own emotions + recognise and influence others' emotions.
- Goleman's 5: Self-awareness, Self-regulation, Motivation, Empathy, Social skills.

2. Time Management (explained with EI)

Why managing your time really means managing yourself

Time management is the process of planning and consciously controlling how much time you spend on specific activities, so that you work on the right things at the right time. Everybody has the same 24 hours; what differs is how the hours are used.

The link between time management and EI

Most time-management failures are really emotion-management failures. We do not procrastinate because we lack a calendar. We procrastinate because a task feels boring, difficult or frightening, and we avoid the uncomfortable feeling. That is why the two topics are taught together:

EI component	How it improves your time management
Self-awareness	You notice when and why you procrastinate, and know your high-energy hours
Self-regulation	You resist distractions (phone, social media) and stick to your plan
Motivation	You connect tasks to bigger goals, so you start without waiting to 'feel like it'
Empathy	You respect other people's time: punctual, prepared, brief
Social skills	You can politely say 'no', negotiate deadlines and delegate

The Eisenhower (Urgent–Important) Matrix

	URGENT	NOT URGENT
IMPORTANT	Q1 – DO NOW Crises, deadlines, customer emergencies	Q2 – SCHEDULE Planning, learning, relationships, prevention
NOT IMPORTANT	Q3 – DELEGATE Many interruptions, some calls/emails	Q4 – ELIMINATE Time-wasters, endless scrolling, gossip

Effective people spend as much time as possible in **Quadrant 2**. Q2 work (planning, preparation, learning) prevents many of the Q1 crises.

Practical time-management techniques

- **Plan the day the night before:** write your top 3 priorities (MITs, Most Important Tasks).
- **Pareto principle (80/20):** about 80% of results come from 20% of activities, so find that 20%.
- **Time blocking:** put tasks in your calendar like appointments.
- **Pomodoro technique:** 25 minutes focused work, 5 minutes break; after 4 rounds, a longer break.
- **Eat the frog:** do the hardest or most dreaded task first, while your willpower is fresh.
- **Batch similar tasks:** for example, reply to all emails at set times instead of all day.
- **Learn to say no** to requests that do not fit your priorities.
- **Review weekly:** what worked, what didn't, what to change.

Common time wasters

- Procrastination, perfectionism, poor planning
- Unnecessary meetings and interruptions
- Social media and phone notifications
- Inability to delegate or to say no
- Unclear goals

Key takeaways

- Time management is self-management; emotions cause most procrastination.
- Use the Urgent/Important matrix and live in Quadrant 2.
- Plan, prioritise, block time, protect focus, review.

3. Effective Selling & Marketing Skills

Creating, communicating and delivering value, and closing the deal

Define marketing

The Chartered Institute of Marketing (CIM, UK) defines marketing as *"the management process responsible for identifying, anticipating and satisfying customer requirements profitably."*

The American Marketing Association (AMA) defines it as *"the activity, set of institutions, and processes for creating, communicating, delivering, and exchanging offerings that have value for customers, clients, partners, and society at large."*

In simple words: **marketing is finding out what people need, creating something that meets that need, telling the right people about it in the right way, and making a profit while keeping them satisfied.**

Marketing brings the customer to the door. Selling closes the deal.

Marketing vs. selling

Marketing	Selling
Focuses on customer needs	Focuses on the product and the seller's need to convert it to cash
Long-term: builds brand and relationships	Short-term: closes transactions
One-to-many (campaigns, content, brand)	Usually one-to-one (conversation, pitch)
Creates demand	Converts demand into revenue

The Marketing Mix (4Ps, extended to 7Ps for services)

- **Product:** what you offer (e.g., a savings account, a loan, a service).
- **Price:** what the customer pays (interest rates, fees, charges).
- **Place:** how it reaches the customer (branches, app, agents, online).
- **Promotion:** how you communicate (ads, social media, email, events).
- **People:** staff who deliver the service. In banking, people *are* the product.
- **Process:** how easy and fast the service is (account opening, loan approval).
- **Physical evidence:** branch appearance, app design, documents and uniforms that make the service feel trustworthy.

Other key marketing concepts

- **STP (Segmentation, Targeting, Positioning):** divide the market into groups, pick the groups you serve best, and position your offer clearly in their minds.
- **Value proposition:** a clear statement of why a customer should choose you: the problem you solve and the benefit they get.
- **AIDA:** the stages a buyer passes through: Attention, Interest, Desire, Action.
- **Customer lifetime value:** keeping a customer is cheaper than finding a new one, so retention matters.

The selling process (7 steps)

- 1 **Prospecting:** finding potential customers (leads) who have a need and the ability to buy.
- 2 **Pre-approach / preparation:** research the prospect: business, needs, decision-maker.
- 3 **Approach:** first contact; build rapport and earn the right to continue.
- 4 **Needs discovery and presentation:** ask open questions, listen, then present benefits (not just features) that match their needs.
- 5 **Handling objections:** treat objections as requests for more information. Listen, acknowledge, clarify, respond.
- 6 **Closing:** ask for the business (e.g., "Shall we open the account today?").
- 7 **Follow-up:** deliver on promises, check satisfaction, ask for referrals, cross-sell.

Qualities of an effective salesperson

- Product knowledge and confidence
- Active listening; asks more than tells
- Empathy and EI
- Persistence and resilience with rejection
- Integrity. Never mis-sell; in banking, mis-selling is also a compliance breach
- Good follow-up discipline

Applying marketing to your outreach work

If your work involves outreach (cold emails, DMs, calls or campaigns to win clients), each part of the definition gives you a practical rule:

Marketing idea	What it means for your outreach
Identify customer requirements	Research the prospect before contacting them: their business, what they post, their likely pain points (e.g., weak email marketing, slow manual processes)
Segmentation & targeting	Don't blast everyone. Pick a niche (e.g., e-commerce brands, clinics, real-estate firms) and write for that niche
Value proposition	Lead with the result you create ("I help X get Y without Z"), not a list of your skills
AIDA	Subject line = Attention; a specific observation about them = Interest; proof or a quick win = Desire; one simple call-to-action = Action
Promotion / physical evidence	Portfolio, case studies, testimonials and a clean website are your 'branch'. They build trust
Satisfy profitably	Price for value, deliver well, and turn happy clients into referrals and repeat work
Follow-up (selling step 7)	Most replies come after the 2nd–4th follow-up. Plan a polite sequence
Measure	Track open rate, reply rate, meetings booked and closes, then improve the weakest step

Example outreach email structure

Subject: Quick idea for [Company]'s welcome emails

Line 1 (personal): I noticed new subscribers to [Company] don't get a welcome sequence.

Line 2 (value): I build automated email flows that typically lift repeat purchases.

Line 3 (proof): Here's one I did for a similar brand: [link].

Line 4 (CTA): Worth a 10-minute chat this week?

Key takeaways

- Marketing = identifying, anticipating and satisfying customer needs profitably.
- 4Ps/7Ps, STP, value proposition, AIDA.
- Sales process: Prospect, Prepare, Approach, Discover/Present, Handle objections, Close, Follow up.

4. Effective Business Communication

Getting the right message to the right person in the right way

The short version

In one breath

Business communication is the sharing of information within and outside an organisation to get work done. It is effective when the message is **clear, correct, brief and understood by the receiver in the way the sender intended**, and it produces the right action or response.

The full definition

Communication comes from the Latin *communicare*, "to share" or "to make common". It is the process of transmitting information, ideas, feelings and meaning from one person or group (the sender) to another (the receiver) through a channel, so that a **shared understanding** is created and feedback confirms it.

Business communication is this process applied to the workplace: the exchange of information between people inside the organisation (managers, staff, departments) and outside it (customers, regulators, suppliers, investors) in order to achieve organisational goals. **Effective** business communication is communication that achieves its purpose: the receiver understands the message as intended and responds appropriately, with minimal misunderstanding, time or cost.

The communication process

Element	Meaning
Sender	The person who originates the message
Encoding	Turning the idea into words, symbols or gestures
Message	The content being communicated
Channel / medium	How it travels: email, meeting, phone, memo, WhatsApp, report
Receiver	The person the message is meant for
Decoding	The receiver interpreting the message
Feedback	The receiver's response, which confirms understanding
Noise / barriers	Anything that distorts the message

Types of business communication

- **Internal:** upward (staff to management), downward (management to staff), horizontal (between colleagues/departments), and informal (the 'grapevine').
- **External:** with customers, regulators, partners, the media and the public.
- **Verbal:** spoken (meetings, calls, presentations) and written (emails, memos, letters, reports).
- **Non-verbal:** body language, facial expression, tone, eye contact, dress, punctuality.
- **Visual:** charts, slides, infographics.

The 7 Cs of effective communication

C	Meaning
Clear	One main idea; simple words; purpose obvious
Concise	No unnecessary words or repetition
Concrete	Specific facts, figures, dates. Not vague
Correct	Accurate facts, grammar and spelling
Coherent	Logical flow; points connect
Complete	All information the receiver needs to act
Courteous	Polite, respectful, considers the reader's feelings

Barriers to effective communication

- **Language/semantic:** jargon, ambiguity, different meanings of words.
- **Physical:** noise, distance, poor network, faulty equipment.
- **Psychological/emotional:** anger, stress, prejudice, not listening.
- **Cultural:** different norms on directness, time, hierarchy.
- **Organisational:** too many layers, information overload, wrong channel.

Tips for business writing and speaking

- Know your audience and your purpose before you write.
- Put the main point or request first (Bottom Line Up Front).
- Use clear subject lines, short paragraphs and bullet points.
- Proofread every email; never send when angry.
- In meetings: listen actively, don't interrupt, summarise agreed actions.
- Keep body language open: eye contact, a steady voice, and no arms folded.

Key takeaways

- Effective communication = the intended meaning is understood and acted on.
- Process: Sender, Encode, Message, Channel, Receiver, Decode, Feedback (plus Noise).
- 7 Cs: Clear, Concise, Concrete, Correct, Coherent, Complete, Courteous.

5. Internal Audit

The organisation's independent 'check-up' function

What "audit" itself means

The word **audit** comes from the Latin *audire*, "to hear". In the past, accounts were read aloud and an official *heard* them to check whether they were true. Today, an **audit** is an **independent, systematic examination of records, processes, systems or statements to give an opinion on whether they are accurate, reliable and in line with set rules or standards.**

Three ideas sit inside every audit: **independence** (the auditor is not the person who did the work), **evidence** (conclusions are based on documents, tests and observation, not assumptions), and **opinion/assurance** (the auditor tells users whether they can rely on what was examined).

External vs. internal audit

	External audit	Internal audit
Who	Independent firm outside the organisation	Employees (or outsourced team) of the organisation
Reports to	Shareholders	Board Audit Committee (functionally); management (administratively)
Main focus	Whether financial statements are 'true and fair'	Risk management, controls, governance, operations, all areas
Frequency	Usually annual	Continuous, risk-based plan through the year
Required by	Law (e.g., CAMA 2020 for companies)	Regulators for banks (CBN corporate governance codes) and good practice

Definition of internal audit

The Institute of Internal Auditors (IIA) has long defined internal auditing as *"an independent, objective assurance and consulting activity designed to add value and improve an organization's operations. It helps an organization accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control, and governance processes."* The IIA's Global Internal Audit Standards (2024) keep this purpose.

Three lines model (IIA)

Line	Who	Role
First line	Business operations (branches, front office)	Own and manage risks day to day
Second line	Risk management, compliance, internal control	Set policies, monitor and challenge the first line
Third line	Internal audit	Independent assurance to the Board on how well lines 1 and 2 work

The internal audit process

- 1 **Planning:** risk-based annual audit plan, approved by the Audit Committee.
- 2 **Scoping/understanding:** study the area, its risks and controls.
- 3 **Fieldwork/testing:** sampling, walkthroughs, reconciliation, interviews, data analytics.
- 4 **Findings:** condition (what is), criteria (what should be), cause, effect/risk, recommendation.
- 5 **Reporting:** draft report, management responses and agreed action plans, final report.
- 6 **Follow-up:** verify that agreed actions were actually implemented.

Qualities of an internal auditor

- Independence and objectivity
- Integrity and confidentiality
- Professional scepticism
- Competence and due professional care
- Good communication (findings must be reported tactfully)

Key takeaways

- Audit = independent, systematic examination based on evidence, leading to an opinion.
- Internal audit gives assurance on risk, control and governance, and reports to the Audit Committee.
- It is the third line, after operations and risk/compliance.

6. Compliance

Doing business within the rules

Compliance means conforming to laws, regulations, rules, standards and internal policies that apply to an organisation. The **compliance function** in a bank identifies, assesses, advises on, monitors and reports on the bank's **compliance risk**: the risk of legal or regulatory sanctions, financial loss or reputational damage from failing to comply.

Why compliance matters in banking

- Banks hold public money and are among the most regulated businesses in the world.
- Breaches lead to heavy fines, licence suspension or revocation, and loss of public trust.
- Banks can be used for money laundering, terrorism financing and fraud, so the law makes them gatekeepers.

Key regulators and laws in Nigeria

Regulator / law	Focus
Central Bank of Nigeria (CBN)	Licensing and supervising banks; monetary policy; prudential guidelines
Banks and Other Financial Institutions Act (BOFIA) 2020	Main law governing banks and financial institutions
Nigeria Deposit Insurance Corporation (NDIC)	Insures deposits; co-supervises banks
Nigerian Financial Intelligence Unit (NFIU)	Receives suspicious and currency transaction reports
Money Laundering (Prevention & Prohibition) Act 2022	AML obligations: KYC, reporting, record keeping
Terrorism (Prevention & Prohibition) Act 2022	Counter-terrorism financing
Securities and Exchange Commission (SEC)	Capital market regulation
Nigeria Data Protection Act 2023 (NDPC)	Protection of customers' personal data
FCCPC	Consumer protection and competition

Core compliance activities

- **KYC (Know Your Customer) / CDD**: verifying customer identity (BVN, NIN, ID, address), understanding the nature of their business, and doing Enhanced Due Diligence for high-risk customers such as Politically Exposed Persons (PEPs).
- **AML/CTF monitoring**: watching transactions for unusual patterns; filing **Suspicious Transaction Reports (STRs)** and **Currency Transaction Reports (CTRs)** to the NFIU.
- **Sanctions screening**: checking customers and transactions against sanctions lists.
- **Regulatory reporting**: timely and accurate returns to the CBN, NDIC and others.
- **Policies and training**: keeping staff aware of rules; compliance is everyone's job.
- **Monitoring and testing**: checking that business units actually follow the rules.
- **Whistleblowing**: safe channels for reporting wrongdoing.

Money laundering in three stages

Stage	What happens
Placement	Dirty cash enters the financial system (e.g., many small deposits)
Layering	Funds moved through many transactions/accounts to hide their origin
Integration	Money returns as apparently legitimate wealth (property, businesses)

Important

Tipping off (telling a customer that they are being reported or investigated) is a criminal offence. When in doubt, escalate to the Chief Compliance Officer.

Key takeaways

- Compliance = conforming to laws, regulations and internal policies; the function manages compliance risk.
- KYC/CDD, AML/CFT, STRs to NFIU, sanctions screening, regulatory returns.
- In Nigeria: CBN, BOFIA 2020, NDIC, NFIU, MLPPA 2022, NDPA 2023.

7. Understanding the Financial Market

Where money meets those who need it

A **financial market** is any place or system where buyers and sellers trade financial assets such as money, shares, bonds, currencies and derivatives. Its core job is to move funds from **surplus units** (savers and investors) to **deficit units** (borrowers such as businesses and government), setting prices (interest rates, share prices, exchange rates) in the process.

Functions of financial markets

- Mobilising savings and channelling them into investment
- Price discovery (the market decides what assets are worth)
- Liquidity: investors can buy and sell easily
- Risk sharing and risk transfer (e.g., through derivatives, insurance)
- Lower transaction and information costs

Types of financial markets

Market	What is traded	Examples (Nigeria)
Money market	Short-term funds (up to 1 year)	Treasury Bills, Commercial Paper, interbank lending, call money
Capital market	Long-term funds (more than 1 year)	Shares on Nigerian Exchange (NGX), FGN Bonds, corporate bonds
Primary market	New securities issued for the first time	IPOs, rights issues, bond auctions by DMO
Secondary market	Existing securities traded between investors	Trading shares on NGX
Foreign exchange market	Currencies	Nigerian Foreign Exchange Market (NFEM)
Derivatives market	Contracts deriving value from other assets	Futures, options, swaps, forwards
Commodities market	Physical goods	AFEX Commodities Exchange

Key participants

- **Regulators:** CBN (money market, banks), SEC (capital market), PenCom, NAICOM.
- **Exchanges and infrastructure:** NGX, FMDQ Securities Exchange, Central Securities Clearing System (CSCS).
- **Intermediaries:** banks, stockbrokers, issuing houses, fund managers, pension fund administrators.
- **Issuers:** federal/state governments (via the Debt Management Office), companies.
- **Investors:** individuals, pension funds, insurance companies, foreign portfolio investors.

Important concepts

- **Risk and return:** higher expected returns come with higher risk.
- **Interest rates and bond prices move in opposite directions.**
- **Yield:** the return earned on an investment, expressed as a percentage.
- **Market efficiency:** the degree to which prices reflect all available information.
- **Monetary Policy Rate (MPR):** the CBN benchmark rate that anchors other rates in the market.

Key takeaways

- Financial markets move funds from savers to borrowers and set prices.
- Money market = short-term; capital market = long-term; primary = new issues; secondary = resale.
- Nigerian players: CBN, SEC, NGX, FMDQ, DMO, CSCS.

8. Macroeconomic Analysis

Reading the big picture of the economy

Macroeconomics studies the economy as a whole: total output, inflation, unemployment, interest rates, exchange rates and government policy. **Macroeconomic analysis** is interpreting these indicators to understand where the economy is heading and how that affects businesses, banks, investments and households. Microeconomics looks at individual firms and consumers; macroeconomics looks at the whole forest.

Key macroeconomic indicators

Indicator	Meaning	Why a banker cares
GDP (Gross Domestic Product)	Total value of goods and services produced in a country in a period	Growth means more business, more lending, fewer defaults
Inflation (CPI)	General rise in prices over time; measured by the NBS	Erodes savings; pushes up interest rates; affects loan affordability
Interest rates / MPR	Cost of borrowing; the MPR is set by the CBN's Monetary Policy Committee	Drives loan pricing, deposit rates and bond values
Exchange rate	Price of the naira against other currencies	Affects importers, FX loans, foreign investment
Unemployment rate	Share of the labour force without work	Affects consumer spending and retail credit risk
Balance of payments	Record of transactions with the rest of the world	Signals pressure on FX and reserves
External reserves	Foreign currency held by the CBN	Ability to defend the naira and pay for imports
Fiscal deficit / public debt	Government spending over revenue; total borrowing	Government borrowing can crowd out private credit

Two main policy tools

- **Monetary policy (CBN):** controls money supply and interest rates to maintain price stability. Tools: Monetary Policy Rate, Cash Reserve Ratio (CRR), Liquidity Ratio, Open Market Operations (OMO), FX interventions. *Tightening* (raising rates) fights inflation; *easing* stimulates growth.
- **Fiscal policy (Government):** taxation and public spending. Expansionary fiscal policy (spend more, tax less) boosts demand; contractionary policy does the opposite.

The business cycle

Economies move through **expansion, peak, contraction (recession), and trough/recovery**. A recession is commonly defined as two consecutive quarters of negative GDP growth. Banks usually tighten lending in downturns because default risk rises.

How to analyse the macro environment

- 1 Gather the latest data (NBS for GDP/inflation/unemployment; CBN for MPR, reserves, FX; DMO for debt).
- 2 Look at trends, not single numbers: is inflation rising or falling?
- 3 Identify the policy response: what will the CBN or government likely do next?
- 4 Assess impact on sectors: e.g., a weaker naira hurts importers but helps exporters.
- 5 Translate to decisions: loan pricing, sector limits, investment choices, pricing of products.
- 6 Use frameworks like **PESTLE** (Political, Economic, Social, Technological, Legal, Environmental) for a broader view.

Key takeaways

- Macroeconomics = the economy as a whole (GDP, inflation, rates, FX, jobs).
- Monetary policy = CBN (rates, CRR, OMO); fiscal policy = government (tax, spending).
- Always ask: what is the trend, what will policy do, and how does it hit my customers?

9. Operations (Banking Operations)

The engine room that makes the bank work every day

Operations refers to all the processes and activities that deliver a bank's products and services to customers accurately, safely and efficiently. Front office sells and serves; operations (often called the back office) processes, settles, records and reconciles. If sales brings the customer in, operations keeps the promise.

Key areas of bank operations

Area	What it covers
Account services	Account opening (KYC documentation, BVN/NIN), maintenance, reactivation of dormant accounts, closure
Teller / cash operations	Cash deposits and withdrawals, vault management, cash counting, dual custody, currency handling
Clearing	Cheque processing through the Nigeria Automated Clearing System (NACS)
Payments & transfers	NIP (NIBSS Instant Payment), NEFT, RTGS for large-value, SWIFT for international
Trade services	Letters of credit, Form M, import/export documentation, FX transactions
Reconciliation	Matching the bank's records to external records (GL, NIBSS, correspondent banks), clearing suspense accounts
Treasury operations	Settlement of money-market and FX deals
E-channels support	ATMs, POS, card operations, dispute resolution/chargebacks

Principles of sound operations

- **Accuracy:** errors cost money and customer trust.
- **Dual control / maker-checker:** one person initiates, another authorises.
- **Segregation of duties:** no one person controls a whole transaction.
- **Timeliness / turnaround time (TAT):** SLAs for how quickly each service is completed.
- **Documentation and audit trail:** every transaction can be traced.
- **Business continuity:** backup systems and plans so services continue during disruptions.

Operational risk

The Basel Committee defines **operational risk** as *"the risk of loss resulting from inadequate or failed internal processes, people and systems, or from external events."* Examples: teller fraud, system downtime, wrong transfers, forged cheques, cyber-attacks, fire or flood.

Key takeaways

- Operations = processing, settling, recording and reconciling transactions.
- Maker-checker, segregation of duties, TAT and audit trails are the backbone.
- Operational risk = losses from failed processes, people, systems or external events.

10. Basic Accounting & Financial Statement Analysis

The language of business, and how to read it

Accounting is the process of identifying, recording, classifying, summarising and interpreting financial transactions to provide useful information for decision-making. It is often called the "language of business".

The accounting equation

Everything balances on this

Assets = Liabilities + Equity

What a business owns = what it owes others + what belongs to its owners.

Double-entry bookkeeping

Every transaction affects at least two accounts: a **debit** and an equal **credit**. Rule of thumb: **debit** increases assets and expenses; **credit** increases liabilities, equity and income. (A customer's deposit is a *liability* to the bank, which is why your bank 'credits' your account when you deposit.)

Key accounting concepts

- **Going concern:** the business will continue for the foreseeable future.
- **Accruals:** record income and expenses when earned/incurred, not when cash moves.
- **Consistency:** same methods used from period to period.
- **Prudence:** don't overstate assets or income.
- **Materiality:** focus on items large enough to influence decisions.
- In Nigeria, companies follow **IFRS** as adopted by the Financial Reporting Council of Nigeria (FRC).

The main financial statements

Statement	Shows	Key items
Statement of Financial Position (Balance Sheet)	What the business owns and owes at a point in time	Assets, liabilities, equity
Statement of Profit or Loss (Income Statement)	Performance over a period	Revenue, cost of sales, expenses, profit
Statement of Cash Flows	Cash in and out over a period	Operating, investing, financing activities
Statement of Changes in Equity	Movements in owners' funds	Profit, dividends, new shares
Notes to the accounts	Details and accounting policies	Explanations behind the numbers

Profit is not cash. A company can be profitable and still fail if it runs out of cash, so always look at the cash-flow statement.

Financial statement analysis: key ratios

Category	Ratio	Formula	What it tells you
Liquidity	Current ratio	$\text{Current assets} \div \text{Current liabilities}$	Can it pay short-term debts? (~1.5–2 is often comfortable)
Liquidity	Quick (acid-test) ratio	$(\text{Current assets} - \text{Inventory}) \div \text{Current liabilities}$	Liquidity without relying on stock
Profitability	Gross profit margin	$\text{Gross profit} \div \text{Revenue} \times 100$	Pricing and production efficiency
Profitability	Net profit margin	$\text{Net profit} \div \text{Revenue} \times 100$	Overall profitability
Profitability	Return on Equity (ROE)	$\text{Net profit} \div \text{Equity} \times 100$	Return to shareholders
Profitability	Return on Assets (ROA)	$\text{Net profit} \div \text{Total assets} \times 100$	How well assets generate profit
Leverage	Debt-to-equity	$\text{Total debt} \div \text{Equity}$	How much the business relies on borrowing
Leverage	Interest cover	$\text{EBIT} \div \text{Interest expense}$	Ability to pay interest
Efficiency	Receivable days	$\text{Trade receivables} \div \text{Revenue} \times 365$	How fast customers pay
Efficiency	Inventory days	$\text{Inventory} \div \text{Cost of sales} \times 365$	How long stock sits

Methods of analysis

- **Horizontal (trend) analysis:** compare figures across years.
- **Vertical (common-size) analysis:** each item as a % of revenue or total assets.
- **Ratio analysis:** as above.
- **Benchmarking:** compare with competitors and industry averages.

Key takeaways

- Assets = Liabilities + Equity; every entry has an equal debit and credit.
- Balance sheet (position), P&L (performance), cash flow (cash), changes in equity.
- Ratios: liquidity, profitability, leverage, efficiency. Compare over time and against peers.

11. Internal Control

The checks and balances that keep an organisation safe

Internal control is the set of policies, procedures and activities an organisation puts in place to ensure that its objectives are achieved, assets are safeguarded, records are reliable and laws are followed. The COSO framework defines it as *"a process, effected by an entity's board of directors, management, and other personnel, designed to provide reasonable assurance regarding the achievement of objectives relating to operations, reporting, and compliance."*

Note the phrase **reasonable assurance**: no control system can guarantee 100% protection, because of human error, collusion or management override.

Objectives of internal control

- Effective and efficient operations
- Reliable financial and non-financial reporting
- Compliance with laws and regulations
- Safeguarding of assets

COSO's five components

Component	Meaning
1. Control environment	The 'tone at the top': integrity, ethics, board oversight, structure. The foundation
2. Risk assessment	Identifying and analysing risks to objectives, including fraud risk
3. Control activities	The actual controls: approvals, reconciliations, segregation of duties, etc.
4. Information & communication	Getting the right information to the right people on time
5. Monitoring activities	Ongoing checks and periodic evaluations (e.g., by internal audit)

Types of controls

- **Preventive:** stop problems before they happen: authorisation limits, passwords, segregation of duties, dual custody.
- **Detective:** find problems after they happen: reconciliations, reviews, exception reports, surprise cash counts.
- **Corrective:** fix problems found: disciplinary action, system fixes, recovery procedures.
- **Directive:** guide behaviour: policies, manuals, training.

Common control activities in a bank

- Segregation of duties and maker-checker
- Authorisation and approval limits
- Daily reconciliations of GL, suspense and nostro accounts
- Physical controls: vaults, dual custody of keys, CCTV
- Access controls on systems (user rights, password policies)
- Mandatory leave (fraud often surfaces when the fraudster is away)
- Job rotation and call-over of transactions

Fraud triangle

Fraud usually happens when three things meet: **Pressure** (financial need), **Opportunity** (weak controls) and **Rationalisation** ("they owe me"). Internal control mainly attacks **opportunity**.

Key takeaways

- Internal control gives reasonable assurance on operations, reporting and compliance.
- COSO 5: Control environment, Risk assessment, Control activities, Information & communication, Monitoring.
- Preventive, detective, corrective, directive. Remove the opportunity for fraud.

12. Core Banking & Finance Principles and Laws

Orji Udemezue's session

Part A: General explanation

Banking is the business of accepting deposits from the public and using those funds to grant loans and make investments, while providing payment and other financial services. A bank is a **financial intermediary**: it stands between savers and borrowers. It earns mainly from the **interest spread** (interest earned on loans minus interest paid on deposits) and from fees and commissions.

Core principles of banking

Principle	Meaning
Liquidity	Ability to meet withdrawals and obligations as they fall due. A bank can be profitable and still fail through illiquidity
Safety / solvency	Protecting depositors' money; having enough capital to absorb losses
Profitability	Earning adequate returns for shareholders
Trust and confidence	Banking runs on public confidence; loss of trust can trigger a 'bank run'
Confidentiality	Duty of secrecy over customers' affairs (with legal exceptions)
Prudence and diversification	Don't put all eggs in one basket; limits on single obligor exposure
Know Your Customer	Knowing who you deal with protects the bank and the system

Bankers speak of the **liquidity–profitability dilemma**: holding more cash makes a bank safer but earns less; lending more earns more but increases risk. Good banking balances the two.

The banker–customer relationship

The basic relationship is **debtor and creditor**: when you deposit money, the bank becomes your debtor (it owes you), and the money becomes the bank's to use. When you borrow, the roles reverse. Other relationships include **principal and agent** (e.g., collecting cheques), **bailor and bailee** (safe custody) and **trustee** relationships. The bank owes the customer duties such as honouring cheques when funds are available, confidentiality, and acting on the customer's mandate; the customer owes duties such as drawing cheques carefully and reporting forgeries promptly.

Key laws and regulations (Nigeria)

Law / instrument	Key points
CBN Act 2007	Establishes the CBN; mandate for monetary and price stability, issuing currency, banker to government, lender of last resort
BOFIA 2020	Licensing of banks; minimum capital; restrictions on activities; regulatory powers of the CBN; failing banks; offences
NDIC Act 2023	Deposit insurance and bank resolution
Money Laundering (P&P) Act 2022	KYC, reporting and record-keeping obligations
Companies and Allied Matters Act (CAMA) 2020	Company law, including for banks as companies
Investments and Securities Act (ISA) 2025	Capital market law, replacing ISA 2007
Nigeria Data Protection Act 2023	Personal data protection
Bills of Exchange Act	Law on cheques and bills of exchange
CBN Prudential Guidelines & circulars	Loan classification, provisioning, corporate governance, capital adequacy

Prudential and international principles

- **Capital adequacy (Basel accords):** banks must hold capital in proportion to their risk-weighted assets. Basel II/III add liquidity (LCR, NSFR) and leverage requirements.
- **Lender of last resort:** the CBN can lend to solvent but illiquid banks to prevent panic.
- **Deposit insurance:** NDIC insures deposits up to set limits, which protects small depositors.
- **Corporate governance:** board composition, tenure limits and independence rules issued by the CBN.

Part B: Linking it to the Tuesday session

A note on this section

I don't have notes or slides from Mr. Orji Udemezue's Tuesday session, so this part does not claim to repeat what was said. It gives a framework for reviewing it. Match your own notes against the headings below and write the speaker's examples next to each one.

A core banking principles and laws session in a Nigerian training programme usually covers these points. Use them as a revision checklist:

- 1 **What a bank is and what makes something 'banking business'** under BOFIA 2020, and why only licensed institutions may take deposits.
- 2 **The banker–customer relationship:** debtor/creditor, the bank's duties (secrecy, honouring the mandate) and when the relationship ends (death, insanity, bankruptcy, court order, customer's instruction).
- 3 **Exceptions to confidentiality** (from *Tournier v National Provincial Bank*, 1924): disclosure under compulsion of law, a duty to the public, the bank's own interest, or with the customer's consent.
- 4 **Cheques and negotiable instruments:** crossing, endorsement, stale and post-dated cheques, dishonour. Issuing a dud cheque is an offence under Nigeria's Dishonoured Cheques (Offences) Act.
- 5 **The regulatory architecture:** roles of the CBN, NDIC, NFIU, SEC and the FCCPC, and why banks must comply.
- 6 **Prudential rules:** capital adequacy, liquidity ratio, CRR, single obligor limit, loan classification and provisioning.

7 Ethics and professionalism: the Chartered Institute of Bankers of Nigeria (CIBN) code of conduct, and staff liability for fraud and negligence.

How to use this: for each heading, write (a) the rule, (b) the reason behind it, and (c) one real example from the session or from the news. That turns a lecture into answers you can give in an exam or interview.

Key takeaways

- A bank is an intermediary. Its core principles are liquidity, safety, profitability, trust and confidentiality.
- The banker–customer relationship is basically debtor/creditor, with duties on both sides.
- Nigerian framework: CBN Act, BOFIA 2020, NDIC Act, MLPPA 2022, CAMA 2020, Basel capital rules.

13. Basic Credit Risk Analysis & Management

Lending money and getting it back

Credit risk is the risk that a borrower or counterparty fails to meet its obligations (repay principal and interest) as agreed. It is the largest risk most banks face, because lending is their main business. **Credit risk management** is the process of identifying, measuring, monitoring and controlling this risk to keep losses within acceptable limits while still lending profitably.

The 5 Cs of credit

C	Question asked	Evidence
Character	Is the borrower honest and willing to repay?	Credit bureau reports (CRC, FirstCentral, CreditRegistry), CBN CRMS, track record, references
Capacity	Can they repay from cash flow?	Financial statements, bank statements, cash-flow projections, debt-service coverage
Capital	How much of their own money is invested?	Equity, net worth. Owners with 'skin in the game' try harder
Collateral	What secures the loan if things go wrong?	Property, deposits, shares, guarantees, vehicles, receivables
Conditions	What is the purpose, and what is the economic/industry climate?	Loan purpose, sector outlook, regulation, macro conditions

Collateral is a **second way out**. A good lender lends on cash flow (capacity) and treats collateral as a backup. Other frameworks include **CAMPARI** (Character, Ability, Margin, Purpose, Amount, Repayment, Insurance).

The credit process

- 1 Loan request and initial screening
- 2 Credit analysis (5 Cs, financial analysis, site visit)
- 3 Structuring (amount, tenor, pricing, repayment, covenants, security)
- 4 Approval by the right authority level / credit committee
- 5 Documentation and perfection of security
- 6 Disbursement (after all conditions precedent are met)
- 7 Monitoring (repayments, covenants, account turnover, early-warning signs)
- 8 Recovery/remedial management if the loan goes bad

Measuring credit risk

- **PD (Probability of Default)**: the likelihood the borrower defaults.
- **LGD (Loss Given Default)**: the % of exposure lost after recoveries.
- **EAD (Exposure at Default)**: the amount outstanding when default happens.
- **Expected Loss = PD × LGD × EAD**. Under IFRS 9 banks provide for expected credit losses (stages 1, 2, 3).
- **Credit ratings/scoring**: internal grades summarise risk.

Loan classification (CBN Prudential Guidelines, performing vs. non-performing)

Class	Days past due (typical)	Status
Performing	0–89	Healthy (watch-list if early warning signs)
Substandard	90–179	Non-performing
Doubtful	180–359	Non-performing
Lost	360+	Non-performing; fully provided/written off

(Specialised loans such as mortgages and agriculture have longer timelines under CBN rules.)

Credit risk management tools

- Credit policy and approval limits
- Portfolio diversification; sector and single-obligor limits
- Collateral and guarantees; credit insurance
- Covenants (conditions borrowers must meet)
- Early-warning systems and watch-lists
- Loan restructuring and recovery strategies
- Pricing for risk (higher risk → higher rate)

Warning signs of a troubled loan

- Late or missed repayments; frequent requests for extension
- Declining account turnover; cheques returned
- Deteriorating financial ratios; delayed financial statements
- Diversion of funds from the stated purpose
- Management changes, disputes, or loss of key customers

Key takeaways

- Credit risk = the borrower fails to pay as agreed.
- 5 Cs: Character, Capacity, Capital, Collateral, Conditions. Lend on cash flow, not collateral.
- $EL = PD \times LGD \times EAD$; loans become non-performing at 90+ days past due.

14. Digital Banking

Banking without walls

Digital banking is the delivery of banking products and services through electronic channels (internet, mobile apps, USSD, cards, ATMs, POS and APIs) so customers can transact any time and anywhere, often without visiting a branch. It covers both digitising traditional services and building completely new digital products.

Digital banking channels in Nigeria

Channel	Description
Mobile banking apps	Transfers, bill payments, airtime, loans and savings on smartphones
Internet banking	Web-based banking for individuals and corporates
USSD (*code#)	Works on any phone without internet. Key for financial inclusion
Cards (debit/credit/prepaid)	Verve, Mastercard, Visa; used at ATMs, POS and online
ATMs and POS	Self-service cash and card payments
Agent banking	Agents (e.g., shops) offer basic services in underserved areas
NIP instant transfers	NIBSS Instant Payment: real-time interbank transfers
APIs / Open Banking	Secure data sharing with licensed third parties under CBN's Open Banking framework
Digital-only banks / fintechs	e.g., mobile money operators and payment service banks

Benefits

- Convenience: 24/7 access
- Lower cost per transaction for banks
- Financial inclusion for the unbanked
- Speed: instant payments
- Data for better products and credit scoring

Risks and challenges

- **Cyber fraud:** phishing, SIM-swap fraud, account takeover, social engineering.
- Downtime and failed transactions that hurt customer trust
- Data privacy breaches (NDPA 2023 compliance)
- Digital literacy gaps and poor network coverage
- Regulatory compliance (KYC tiers, transaction limits)

Important enablers and rules

- **BVN (Bank Verification Number)** and **NIN**: identity backbone for KYC.
- **Tiered KYC**: lower-tier accounts have lower limits and simpler requirements.
- **Two-factor authentication**: OTP, tokens, biometrics.
- **eNaira** (CBN's digital currency), launched 2021.
- **Emerging tech**: AI chatbots, biometric login, blockchain, embedded finance.

Key takeaways

- Digital banking = services through electronic channels, anytime and anywhere.
- Channels: app, internet, USSD, cards, ATM/POS, agents, NIP, open banking APIs.
- Big benefit: inclusion and convenience. Big risk: cyber fraud and downtime.

15. Customer Service & Relationship Management Excellence

Winning, keeping and growing customers

Customer service is the assistance and support an organisation gives customers before, during and after a purchase or transaction. **Relationship management** goes further: it is the deliberate, long-term effort to understand customers, meet their changing needs and build lasting, profitable relationships with them. Excellence means consistently **exceeding** expectations, not just meeting them.

Why it matters in banking

- Banking products are similar; **service is the main differentiator**.
- Retaining a customer costs far less than acquiring a new one.
- Satisfied customers bring referrals; unhappy ones leave and tell others (fast, on social media).
- The CBN's Consumer Protection Framework requires fair treatment and proper complaint handling.

Key elements of service excellence (SERVQUAL dimensions)

Dimension	Meaning
Reliability	Doing what you promised, accurately, the first time
Responsiveness	Willingness to help promptly
Assurance	Knowledge and courtesy that inspire trust
Empathy	Caring, individual attention
Tangibles	Appearance of facilities, staff and materials

Handling complaints: LEARN / LAST model

- 1 Listen** fully without interrupting.
- 2 Empathise/Apologise**: "I understand how frustrating this is."
- 3 Solve/Act**: take ownership; give a clear resolution and timeline.
- 4 Thank** the customer for raising it, and **follow up** to confirm it was resolved.

Relationship management practices

- Know your customer deeply: needs, business cycle, family and milestones
- Regular proactive contact, not only when selling
- Segment customers (mass, affluent, SME, corporate) and serve each appropriately
- Use CRM systems to record interactions and spot opportunities
- Cross-sell and up-sell only where it genuinely benefits the customer
- Measure: Net Promoter Score (NPS), customer satisfaction (CSAT), complaint TAT, retention rate

Moments of truth

Every contact point (a phone call, the security guard's greeting, an app error message) is a **moment of truth** where the customer forms an opinion of the whole bank.

Key takeaways

- Customer service = help at every stage. Relationship management = long-term, profitable relationships.
- SERVQUAL: Reliability, Responsiveness, Assurance, Empathy, Tangibles.
- Complaints: Listen, Empathise, Solve, Thank and follow up.

16. HMO: Anchor HMO

Health Maintenance Organisations and managed healthcare

A **Health Maintenance Organisation (HMO)** is a company that manages health insurance plans. It collects premiums from individuals or employers and, in return, arranges and pays for members' healthcare through a network of accredited hospitals and clinics (healthcare providers). In Nigeria, HMOs are regulated by the **National Health Insurance Authority (NHIA)** under the **NHIA Act 2022**, which replaced the NHIS Act and aims at health coverage for all Nigerians.

How an HMO works

- 1 An employer (or individual) buys a health plan and pays a premium, usually yearly.
- 2 Each member picks a primary healthcare provider (hospital) from the HMO's network.
- 3 Members get an ID/enrolment number and access care at the chosen hospital.
- 4 For specialist or expensive care, the hospital requests an **authorisation code** from the HMO.
- 5 The HMO pays the hospital, either through **capitation** (a fixed amount per enrolled member per month) or **fee-for-service** (paying per treatment, for secondary care).

Key terms

- **Premium:** amount paid for cover.
- **Enrollee:** the covered person (principal and dependants).
- **Provider:** accredited hospital/clinic.
- **Capitation:** fixed monthly payment per enrollee to a primary provider.
- **Exclusions:** services not covered (e.g., some cosmetic procedures, certain pre-existing conditions, depending on the plan).
- **Plan tiers:** basic to premium plans with different benefits and hospital access.

About Anchor HMO

Anchor HMO International Company Ltd is a Nigerian HMO that provides managed healthcare plans for individuals, families, SMEs and corporate organisations, through a network of partner hospitals. Like other HMOs, its offerings typically include individual/family plans, corporate (group) plans, and participation in social health insurance schemes, with services such as outpatient care, admission, maternity, dental and optical cover depending on the plan.

Check before relying on specifics

Plan names, prices, hospital lists and benefits change often. Confirm Anchor HMO's current plans and figures from the presenter's slides or the company's official channels.

Why this matters to bankers/employees

- Health cover is a key **employee benefit**; you should understand how to use your plan.
- Banks have HMOs as corporate customers (accounts, collections, payments to providers).
- Health insurance reduces out-of-pocket spending, which protects household finances and loan repayment capacity.

Key takeaways

- HMO = manages health insurance: collects premiums, pays accredited providers.
- Regulated by the NHIA (NHIA Act 2022).
- Capitation (primary care) and fee-for-service (secondary care); authorisation codes for special care.

17. Pension: Leadway Pension

Saving today for life after work

A **pension** is regular income paid to a person after retirement, funded by contributions made during their working life. Nigeria operates a **Contributory Pension Scheme (CPS)** under the **Pension Reform Act (PRA) 2014**, regulated by the **National Pension Commission (PenCom)**.

Key features of the Contributory Pension Scheme

Feature	Details
Who must join	Public service employees and private organisations with 3 or more employees
Minimum contribution	Total of 18% of monthly emoluments (basic + housing + transport): Employer 10%, Employee 8%
Retirement Savings Account (RSA)	Each worker has a personal account. The money belongs to the worker and is portable when changing jobs
PFA (Pension Fund Administrator)	Licensed company that manages and invests RSA funds (e.g., Leadway Pensure PFA)
PFC (Pension Fund Custodian)	Separate company that holds the pension assets for safety. The PFA never holds the cash itself
Group life insurance	Employer must maintain life insurance of at least 3 times the employee's annual total emoluments
Voluntary contributions	Extra contributions allowed, with tax advantages
Micro Pension	For informal-sector and self-employed people

Benefits and withdrawals

- **Retirement age:** generally 50 years or above, or on medical grounds.
- **Options at retirement: Programmed Withdrawal** (monthly or quarterly payments from the RSA through the PFA) or **Retiree Life Annuity** (buy an annuity from a life insurer for guaranteed lifelong income), plus a lump sum as long as the remaining balance can fund a reasonable pension.
- **Temporary loss of job:** up to 25% of the RSA balance may be withdrawn after a waiting period (per PenCom rules).
- **Death:** the RSA balance and group life proceeds go to the named beneficiaries or next of kin.
- **RSA for mortgage equity:** PenCom guidelines allow part of the RSA to be used towards an equity contribution for a residential mortgage.

About Leadway Pension

Leadway Pensure PFA Limited is a licensed Pension Fund Administrator in Nigeria and part of the Leadway Group, which is known for Leadway Assurance. As a PFA it opens RSAs, collects and invests contributions under PenCom investment guidelines (through the multi-fund structure: Funds I–VI based on age and risk profile), gives statements, and processes retirement benefits and other withdrawals. Leadway also provides digital self-service channels for contributors.

Check before relying on specifics

PenCom updates rules on withdrawals, multi-funds and mortgage equity from time to time. Confirm the current figures with the Leadway presenter's materials or PenCom.

Practical tips for employees

- Know your PFA and your RSA PIN.
- Check your statement regularly to confirm your employer is remitting contributions.
- Keep your beneficiary/next-of-kin details and biometric data updated.
- Consider voluntary contributions to grow your retirement fund.

Key takeaways

- Nigeria uses the Contributory Pension Scheme (PRA 2014), regulated by PenCom.
- Minimum 18%: 10% employer + 8% employee, into your own RSA.
- PFA manages (e.g., Leadway Pensure); PFC holds the assets.

18. Information Security

Protecting information and systems

Information security (InfoSec) is the practice of protecting information and information systems from unauthorised access, use, disclosure, disruption, modification or destruction. **Cybersecurity** is the part of information security that deals with digital systems and networks. For a bank, information is as valuable as cash: customer data, account details, passwords and transaction systems.

The CIA triad

Principle	Meaning	Example control
Confidentiality	Only authorised people can access information	Passwords, encryption, access rights
Integrity	Information is accurate and not altered improperly	Checksums, maker-checker, audit logs
Availability	Information and systems are available when needed	Backups, redundancy, disaster recovery, DDoS protection

Common threats

- **Phishing:** fake emails, SMS (smishing) or calls (vishing) that trick you into giving credentials or clicking malicious links.
- **Social engineering:** manipulating people rather than systems (e.g., a caller pretending to be from IT).
- **Malware and ransomware:** malicious software that steals data or encrypts it for ransom.
- **Insider threats:** staff misusing access, deliberately or carelessly.
- **SIM-swap and account takeover** fraud against customers.
- **Weak passwords** and password reuse.
- **Denial-of-service attacks** that overload systems.

Key controls

- Strong passwords and **multi-factor authentication**
- **Least privilege:** staff only get the access they need
- Encryption of data at rest and in transit
- Regular patching and updates; antivirus/endpoint protection
- Firewalls, network monitoring, Security Operations Centre (SOC)
- Backups and business continuity/disaster recovery plans
- Security awareness training (people are the strongest or the weakest link)
- Clean desk and clear screen policy; lock your PC when you leave it

Standards and regulations

- **ISO/IEC 27001**: international standard for an Information Security Management System (ISMS).
- **PCI DSS**: security standard for handling card data.
- **CBN Risk-Based Cybersecurity Framework** for deposit money banks and PSBs.
- **Cybercrimes (Prohibition, Prevention, etc.) Act 2015** (amended 2024).
- **Nigeria Data Protection Act 2023**: lawful processing of personal data; breach notification.

Everyday staff rules

- 1 Never share your password or OTP with anyone, including IT or a manager.
- 2 Verify before you click: check sender address, hover over links, be suspicious of urgency.
- 3 Report suspicious emails and incidents immediately to the InfoSec team.
- 4 Don't plug unknown USB drives into office systems.
- 5 Don't send customer data to personal email or unapproved apps.
- 6 Remind customers: *the bank will never ask for your PIN, password or OTP.*

Key takeaways

- InfoSec protects information from unauthorised access, change or loss.
- CIA triad: Confidentiality, Integrity, Availability.
- Biggest threat: people being tricked (phishing/social engineering). Awareness is a key control.